

Stochastic optimization

Exercise collection

with solutions

Fabian Bastin

Université de Montréal – CIRRELT – IVADO

This collection accompanies the lecture slides. Each exercise names the deck it depends on. This is the version *with solutions*; the statements alone are in `exercises.pdf`.

Sources are indicated exercise by exercise; several are adapted from Birge and Louveaux, *Introduction to Stochastic Programming*, 2nd edition, Springer, 2011.

Contents

1	Generalities	1
2	Two-stage problems with recourse	2
3	Decomposition methods	8
4	Multistage problems	10
5	Monte Carlo approximation	12

1 Generalities

Exercise 1.1. (*Deck 03.*) Show that the value of the stochastic solution and the expected value of perfect information are always non-negative.

Solution.

Consider the general problem $\min_{x \in X} \mathbb{E}[z(x, \boldsymbol{\xi})]$, and recall the four quantities

$$\text{RP} = \min_{x \in X} \mathbb{E}[z(x, \boldsymbol{\xi})], \quad \text{WS} = \mathbb{E} \left[\min_{x \in X} z(x, \boldsymbol{\xi}) \right], \quad \text{EV} = \min_{x \in X} z(x, \bar{\xi}), \quad \bar{\xi} = \mathbb{E}[\boldsymbol{\xi}],$$

and

$$\text{EEV} = \mathbb{E} [z(\bar{x}(\bar{\xi}), \boldsymbol{\xi})], \quad \bar{x}(\bar{\xi}) \in \arg \min_{x \in X} z(x, \bar{\xi}).$$

A warning on EEV. It is **not** $\mathbb{E}[\text{EV}]$: EV is a deterministic number, so $\mathbb{E}[\text{EV}] = \text{EV}$. EEV is the expected cost of *using* the expected-value decision, the uncertainty being restored afterwards. This is exactly what makes VSS measure something.

$VSS = EEV - RP \geq 0$. Since $\bar{x}(\bar{\xi}) \in X$, it is one particular feasible point of the recourse problem, so

$$RP = \min_{x \in X} \mathbb{E}[z(x, \xi)] \leq \mathbb{E}[z(\bar{x}(\bar{\xi}), \xi)] = EEV.$$

$EVPI = RP - WS \geq 0$. Let $x_{RP}^* \in \arg \min_{x \in X} \mathbb{E}[z(x, \xi)]$. For every realization ξ ,

$$z(x_{RP}^*, \xi) \geq \min_{x \in X} z(x, \xi),$$

and taking expectations, which preserves inequalities,

$$RP = \mathbb{E}[z(x_{RP}^*, \xi)] \geq \mathbb{E}\left[\min_{x \in X} z(x, \xi)\right] = WS.$$

Both arguments have the same shape: a single decision that must serve every realization can only be worse than a decision tailored to each one.

2 Two-stage problems with recourse

Exercise 2.1. (Deck 01 and 03.) Consider the farmer problem of deck 01. Is its recourse complete? Relatively complete? Simple?

Solution.

Write t_1, t_2, t_3 for the yields (tons per acre) of one scenario, y_1, y_2 for the tons of wheat and corn bought, w_1, w_2 for the tons sold, and w_3, w_4 for the tons of sugar beets sold at the high and at the low price. Given the acreages x , the second stage is

$$\begin{aligned} \min_{y, w} \quad & 238y_1 - 170w_1 + 210y_2 - 150w_2 - 36w_3 - 10w_4 \\ \text{s.t.} \quad & t_1x_1 + y_1 - w_1 \geq 200, \quad t_2x_2 + y_2 - w_2 \geq 240, \\ & w_3 + w_4 \leq t_3x_3, \quad w_3 \leq 6000, \quad y, w \geq 0. \end{aligned}$$

Adding slacks $s \geq 0$ and moving x to the right-hand side,

$$y_1 - w_1 - s_1 = 200 - t_1x_1, \quad y_2 - w_2 - s_2 = 240 - t_2x_2, \quad w_3 + w_4 + s_3 = t_3x_3, \quad w_3 + s_4 = 6000,$$

so that, with the columns ordered as $(y_1, y_2, w_1, w_2, w_3, w_4, s_1, s_2, s_3, s_4)$,

$$W = \begin{pmatrix} 1 & 0 & -1 & 0 & 0 & 0 & -1 & 0 & 0 & 0 \\ 0 & 1 & 0 & -1 & 0 & 0 & 0 & -1 & 0 & 0 \\ 0 & 0 & 0 & 0 & 1 & 1 & 0 & 0 & 1 & 0 \\ 0 & 0 & 0 & 0 & 1 & 0 & 0 & 0 & 0 & 1 \end{pmatrix}.$$

Not complete. Rows 3 and 4 meet only columns with non-negative entries, so every $z \in \text{pos } W$ has $z_3 \geq 0$ and $z_4 \geq 0$. Conversely any such z is attained (take $w_3 = 0$, $s_4 = z_4$, $w_4 = z_3$, $s_3 = 0$, and use $(y_1, w_1), (y_2, w_2)$ for the first two rows, which are unrestricted). Hence $\text{pos } W = \mathbb{R} \times \mathbb{R} \times \mathbb{R}_+ \times \mathbb{R}_+ \neq \mathbb{R}^4$.

Relatively complete. We need $h(\xi) - T(\xi)x \in \text{pos } W$ for every $x \in K_1 = \{x \in \mathbb{R}_+^3 \mid x_1 + x_2 + x_3 \leq 500\}$ and every scenario. Its third and fourth components are t_3x_3 and 6000, both non-negative since $x_3 \geq 0$ and the yields are positive. So $K_1 \subseteq K_2$. Concretely, buying all the wheat and corn needed and selling no sugar beets is feasible whatever the seeding decision and the yields — expensive, but feasible.

Not simple. Simple recourse requires $W = (I \quad -I)$. Here W is 4×10 and w_3 appears in two rows, the quota coupling the beet sales to the harvest.

Completeness is read off W alone and fails here on a technicality; relative completeness — the property that matters — holds because every right-hand side the model can produce lands in $\text{pos } W$.

Exercise 2.2. (Deck 03; Birge and Louveaux, p. 87.) Consider the second-stage program

$$Q(x, \xi) = \min_y \{y \mid \xi y = 1 - x, y \geq 0\},$$

where ξ follows a triangular distribution on $[0, 1]$, i.e. $P[\xi \leq u] = u^2$.

(a) Is the recourse fixed? Why?

(b) Express $K_2(\xi)$ for every $\xi \in [0, 1]$.

(c) Express K_2 , K_2^P and $\mathcal{Q}$.

Solution.

(a) The recourse is *not* fixed: here $W \equiv \xi$, which is random. Moreover ξ can take the value 0, so the transformation $y = (1 - x)/\xi$ is not defined on all of $\Xi = [0, 1]$. In terms of the cone,

$$\text{pos } W = \begin{cases} \{0\} & \text{if } \xi = 0, \\ \mathbb{R}_+ & \text{if } \xi \neq 0. \end{cases}$$

(b) Two cases. $\xi \in (0, 1]$: since $y \geq 0$ and $\xi > 0$, feasibility requires $1 - x \geq 0$, so $K_2(\xi) = \{x \mid x \leq 1\}$, with $Q(x, \xi) = (1 - x)/\xi$ attained at $y^* = (1 - x)/\xi$. $\xi = 0$: no y satisfies $0 \cdot y = 1 - x$ unless $x = 1$, so $K_2(0) = \{1\}$.

(c) Therefore

$$K_2^P = \{x \mid x \leq 1\} \cap \{1\} = \{1\},$$

while, since $P[\xi = 0] = 0$ and the density is $f(\xi) = 2\xi$,

$$\mathcal{Q}(x) = \int_0^1 \frac{1 - x}{\xi} 2\xi d\xi = 2(1 - x), \quad \forall x \leq 1,$$

so $K_2 = \{x \mid x \leq 1\}$ and $K_2^P \subsetneq K_2$.

The difference is that a point leaves K_2^P as soon as it is infeasible for *one* value of ξ , whatever its probability, whereas K_2 ignores infeasibilities occurring with probability zero. Recall that for a program with a *fixed* recourse — not the case here — and ξ with finite second-order moments, we would have had $K_2 = K_2^P$.

Exercise 2.3. (Deck 03.) Consider the second-stage program

$$\begin{aligned} & \min_y 2y_1 + y_2 \\ & \text{s.t. } y_1 - y_2 \leq 2 - \xi x_1, \\ & \quad y_2 \leq x_2, \\ & \quad y_1, y_2 \geq 0. \end{aligned}$$

Find $K_2(\xi)$ and K_2 when (a) $\xi \sim U[0, 1]$; (b) $\xi \sim \text{Poisson}(\lambda)$, $\lambda > 0$. Which properties do you expect of K_2 ? Is the recourse simple or complete? If not, under which conditions would it be relatively complete?

Solution.

The elementary set. $y_2 \geq 0$ and $y_2 \leq x_2$ force $x_2 \geq 0$. The first constraint then reads $y_1 \leq 2 - \xi x_1 + y_2$, and the largest admissible right-hand side is obtained at $y_2 = x_2$; a feasible $y_1 \geq 0$ exists if and only if $2 - \xi x_1 + x_2 \geq 0$. Hence

$$K_2(\xi) = \{x \mid x_2 \geq 0, \xi x_1 \leq 2 + x_2\} = \{x \mid x_2 \geq \max(0, \xi x_1 - 2)\}.$$

(a) $\xi \sim U[0, 1]$, $\Xi = [0, 1]$. The recourse is fixed (ξ enters only through $T(\xi)$) and the distribution has finite second-order moments, so $K_2 = K_2^s = K_2^P = \bigcap_{\xi \in \Xi} K_2(\xi)$. For $x_1 \geq 0$ and $\xi \leq 1$, $\xi x_1 \leq x_1$, so $x \in K_2(1) \Rightarrow x \in K_2(\xi)$; for $x_1 < 0$, $\xi x_1 \leq 0 \leq 2 + x_2$ always. In both cases $K_2(1) \subseteq K_2(\xi)$ for every $\xi \in \Xi$: the intersection is reached at $\xi = 1$ and

$$K_2 = \{x \mid x_2 \geq 0, x_1 \leq 2 + x_2\}.$$

(b) $\xi \sim \text{Poisson}(\lambda)$, $\Xi = \{0, 1, 2, \dots\}$ unbounded. If $x_1 > 0$ then ξx_1 is unbounded above and no x_2 absorbs it; if $x_1 \leq 0$ then $\xi x_1 \leq 0 \leq 2 + x_2$. Hence $K_2 = \{x \mid x_1 \leq 0, x_2 \geq 0\}$.

Expected properties. Each $K_2(\xi)$ is an intersection of two half-spaces, hence closed and convex, and so is K_2 . This is no accident: with a fixed recourse $x \in K_2(\xi) \iff h(\xi) - T(\xi)x \in \text{pos } W$, and $\text{pos } W$ is a closed convex cone. With a finite support K_2 would moreover be polyhedral; here Ξ is infinite, yet both answers happen to be polyhedral.

Type of recourse. Putting the program in standard form with surplus variables $s_1, s_2 \geq 0$,

$$y_1 - y_2 + s_1 = 2 - \xi x_1, \quad y_2 + s_2 = x_2, \quad W = \begin{pmatrix} 1 & -1 & 1 & 0 \\ 0 & 1 & 0 & 1 \end{pmatrix}.$$

The recourse is *not simple* (W is not $(I \ -I)$), and *not complete*: the second row involves only non-negative coefficients, so $z_2 < 0$ is unreachable and $\text{pos } W = \mathbb{R} \times \mathbb{R}_+ \neq \mathbb{R}^2$. It is *relatively complete* exactly when $K_1 \subseteq K_2$, i.e. when the first stage already enforces $x_2 \geq 0$ together with $x_1 \leq 2 + x_2$ in case (a), or $x_1 \leq 0$ in case (b). If the first stage merely requires $x \geq 0$, then

$$(a) \quad K_1 \cap K_2 \subseteq \{x \geq 0 \mid x_1 \leq 2 + x_2\}, \quad (b) \quad K_1 \cap K_2 \subseteq \{x \mid x_1 = 0, x_2 \geq 0\}.$$

Relative completeness is plausible in the first case and very restrictive in the second: an unbounded support is far less forgiving, since *every* realization has to be survived.

Exercise 2.4. (Deck 03; Birge and Louveaux, p. 102.) Consider the second-stage program

$$\begin{aligned} \min_y \quad & 2y_1 + y_2 \\ \text{s.t.} \quad & y_1 + y_2 \geq 1 - x_1, \\ & y_1 \geq \xi - x_1 - x_2, \\ & y_1, y_2 \geq 0. \end{aligned}$$

Show that this program has a complete recourse when ξ has a finite expectation.

Solution.

A direct argument. Completeness asks that for every right-hand side (z_1, z_2) there exist $y_1, y_2 \geq 0$ with $y_1 + y_2 \geq z_1$ and $y_1 \geq z_2$. Taking $y_1 = \max\{0, z_2\}$ satisfies the second, and $y_2 = \max\{0, z_1 - y_1\}$ the first; both are non-negative.

Through $\text{pos } W$. The standard characterisation requires $Wy = z$ with $y \geq 0$, and is stated for equalities: showing that $Wy \geq z$ is solvable is *not* the same statement. So bring the program to the standard form first, with surplus variables $s \geq 0$:

$$y_1 + y_2 - s_1 = 1 - x_1, \quad y_1 - s_2 = \xi - x_1 - x_2, \quad W = \begin{pmatrix} 1 & 1 & -1 & 0 \\ 1 & 0 & 0 & -1 \end{pmatrix}.$$

The second row leaves y_1 free to absorb the sign of z_2 :

$$\begin{cases} y_1 = z_2, s_2 = 0 & \text{if } z_2 \geq 0, \\ y_1 = 0, s_2 = -z_2 & \text{otherwise.} \end{cases}$$

The first row then reads $y_2 - s_1 = z_1 - y_1$. If $z_2 \geq 0$, then $y_2 - s_1 = z_1 - z_2$ and we take

$$\begin{cases} y_2 = z_1 - z_2, s_1 = 0 & \text{if } z_1 - z_2 \geq 0, \\ y_2 = 0, s_1 = z_2 - z_1 & \text{otherwise;} \end{cases}$$

if $z_2 < 0$, then $y_1 = 0$, $y_2 - s_1 = z_1$, and it suffices to choose

$$\begin{cases} y_2 = z_1, s_1 = 0 & \text{if } z_1 \geq 0, \\ y_2 = 0, s_1 = -z_1 & \text{otherwise.} \end{cases}$$

Every $z \in \mathbb{R}^2$ is reached, so $\text{pos } W = \mathbb{R}^2$ and the recourse is complete.

The hypothesis on $\mathbb{E}[\xi]$ played no role, and could not have: completeness involves only W , which is fixed. The statement is copied from Birge and Louveaux, where the hypothesis is superfluous at this point. In particular it is *not* what gives $K_2 = \mathbb{R}^2$ — completeness alone does.

What a finite expectation buys is the *finiteness* of the recourse. Deck 03 uses exactly this W with $P[\xi = 2^n] = 2^{-(n+1)}$, $n = 0, 1, 2, \dots$, for which $\mathbb{E}[\xi] = +\infty$, to exhibit a problem where the recourse is complete — hence $K_2 = \mathbb{R}^2$ — while $Q(x) = +\infty$ everywhere, so $K_2^s = \emptyset$. Complete recourse and finite recourse are two different things.

Exercise 2.5. (Deck 03.) A company must order a quantity x of a product to meet a demand d that is unknown at the time of ordering. The unit ordering cost is $c > 0$. If $d > x$, a penalty $b \geq 0$ is incurred per unit of unmet demand; if $d < x$, a holding cost h is incurred per surplus unit.

- (a) Formulate the problem as a two-stage stochastic program.
- (b) Is the recourse simple, complete, relatively complete?
- (c) What can be expected of the first-stage solution when $b < c$?

Solution.

(a) The first stage is the order; the second stage settles the discrepancy between x and the realized demand:

$$\min_{x \geq 0} cx + \mathbb{E}_d[Q(x, d)], \quad Q(x, d) = \min_{y^+, y^- \geq 0} \{by^+ + hy^- \mid y^+ - y^- = d - x\}.$$

(b) Here $W = \begin{pmatrix} 1 & -1 \end{pmatrix}$, so the recourse is *simple*, hence also complete and relatively complete. The finiteness condition of the simple-recourse theorem reads $b + h \geq 0$, satisfied as soon as both costs are non-negative.

(c) With $b < c$, an extra ordered unit costs more than the penalty it avoids. Formally, the objective $cx + \mathbb{E}[b(\mathbf{d} - x)^+ + h(x - \mathbf{d})^+]$ has right derivative at x equal to $c - bP[\mathbf{d} > x] + hP[\mathbf{d} < x] \geq c - b > 0$, so the objective is strictly increasing and $x^* = 0$: the company orders nothing and pays the penalty.

Exercise 2.6. (Deck 03.) A good X must be produced before its demand is known. Each unit produced costs \$2. Demand is discrete, taking the values D_s with probabilities p_s , $s = 1, \dots, S$. Demand can also be met by buying from an external supplier at \$3 per unit, once it has been observed. How much should be produced now? Formulate the problem as a two-stage stochastic program minimizing the expected production cost.

Solution.

Let $x \geq 0$ be the number of units produced at the first stage, and $y_s \geq 0$ the number bought from the external supplier in scenario s . Demand is met when $x + y_s \geq D_s$, so

$$\begin{aligned} \min \quad & 2x + \sum_{s=1}^S p_s 3y_s \\ \text{s.t.} \quad & x + y_s \geq D_s, \quad s = 1, \dots, S, \\ & x \geq 0, \quad y_s \geq 0, \quad s = 1, \dots, S. \end{aligned}$$

The second stage decomposes scenario by scenario, with $y_s = (D_s - x)^+$, so the model is a simple-recourse one: producing is cheaper than outsourcing, but must be committed to before the demand is known.

Exercise 2.7. (Deck 03; Hiple, *Tutorials in Operations Research, INFORMS, 2005.*) The Dakota Furniture Company makes desks, tables and chairs. Each item consumes lumber and two kinds of skilled labour, finishing and carpentry:

Resource	Cost	Desk	Table	Chair
Lumber (board ft.)	\$2	8	6	1
Finishing (hours)	\$4	4	2	1.5
Carpentry (hours)	\$5.2	2	1.5	0.5
Selling price		\$60	\$40	\$10

Resources must be acquired before the demand is known. Three equally structured demand scenarios are considered, with probabilities 0.3, 0.4 and 0.3:

Scenario	Desks	Tables	Chairs
Low ($p = 0.3$)	50	20	200
Most likely ($p = 0.4$)	150	110	225
High ($p = 0.3$)	250	250	500

Formulate the problem as a two-stage stochastic program maximizing the expected profit. Only the formulation is asked.

Solution.

Treat it as a resource-allocation problem. First stage: x_1 board feet of lumber, x_2 finishing hours, x_3 carpentry hours. Second stage: y_1 desks, y_2 tables, y_3 chairs produced once the demand is known.

$$\min_{x \geq 0} 2x_1 + 4x_2 + 5.2x_3 + \mathbb{E}_{\xi}[Q(x, \xi)],$$

with

$$\begin{aligned}
Q(x, \xi) = \min_y & -60y_1 - 40y_2 - 10y_3 \\
\text{s.t. } & 8y_1 + 6y_2 + y_3 \leq x_1, \\
& 4y_1 + 2y_2 + 1.5y_3 \leq x_2, \\
& 2y_1 + 1.5y_2 + 0.5y_3 \leq x_3, \\
& y_i \leq d_i(\xi), \quad i = 1, 2, 3, \quad y \geq 0.
\end{aligned}$$

Maximizing profit is minimizing its negative, hence the signs in Q . With the three scenarios,

$$\mathbb{E}_\xi[Q(x, \xi)] = 0.3 Q(x, \xi_1) + 0.4 Q(x, \xi_2) + 0.3 Q(x, \xi_3),$$

where $d(\xi_1) = (50, 20, 200)$, $d(\xi_2) = (150, 110, 225)$ and $d(\xi_3) = (250, 250, 500)$.

Exercise 2.8. (Deck 03; Birge and Louveaux, p. 142.) Consider

$$\begin{aligned}
\min_x & x_1 + 4x_2 + \mathbb{E}_\xi[Q(x, \xi)] \\
\text{s.t. } & x_1 + x_2 = 1, \quad x \geq 0,
\end{aligned}$$

with

$$\begin{aligned}
Q(x, \xi) = \min_y & y_1 + 10y_2 + 10y_3 \\
\text{s.t. } & y_1 + y_2 - y_3 = \xi + x_1 - 2x_2, \\
& y_1 \leq 2, \quad y \geq 0,
\end{aligned}$$

and $\xi \sim U[1, 3]$.

(a) Is the recourse fixed, simple, complete, relatively complete? Answer true or false for each, with a brief justification.

(b) For given x and ξ , show, by discussing the value of $\xi + x_1 - 2x_2$, that

$$y^*(x, \xi) = \begin{cases} y_1 = \xi + x_1 - 2x_2, y_2 = y_3 = 0 & \text{if } 0 \leq \xi + x_1 - 2x_2 \leq 2, \\ y_1 = 2, y_2 = \xi + x_1 - 2x_2 - 2, y_3 = 0 & \text{if } \xi + x_1 - 2x_2 > 2, \\ y_3 = 2x_2 - \xi - x_1, y_1 = y_2 = 0 & \text{if } \xi + x_1 - 2x_2 < 0. \end{cases}$$

(c) Which expected property of $Q(x, \xi)$ does $y^*(x, \xi)$ confirm?

(d) Is $Q(x) = \mathbb{E}_\xi[Q(x, \xi)]$ differentiable? Why?

(e) Express K_1 , $K_2(\xi)$, K_2^P and K_2 .

(f) Give the deterministic equivalent (extensive form) of the discretized problem where ξ takes the values 1, 2, 3.

Solution.

(a) Adding a slack y_4 to the second constraint puts the second stage in standard form,

$$y_1 + y_2 - y_3 = \xi + x_1 - 2x_2, \quad y_1 + y_4 = 2, \quad W = \begin{pmatrix} 1 & 1 & -1 & 0 \\ 1 & 0 & 0 & 1 \end{pmatrix}.$$

Fixed: true, W does not depend on ξ . *Simple*: false, W is not of the form $(I - I)$. *Complete*: false — the second row reads $y_1 + y_4 = z_2$ with $y_1, y_4 \geq 0$, so no $z_2 < 0$ is reachable. *Relatively complete*: true. For any $x \in K_1$ and any ξ , the point

$$y_1 = 0, \quad y_2 = (\xi + x_1 - 2x_2)^+, \quad y_3 = (-\xi - x_1 + 2x_2)^+, \quad y_4 = 2$$

is feasible, the second component of the right-hand side being the constant $2 \geq 0$.

(b) Write $d = \xi + x_1 - 2x_2$. If $d < 0$, the only feasible extreme point is $y_1 = y_2 = 0, y_3 = -d, y_4 = 2$, hence optimal. If $d \geq 0$, an extreme point has $y_3 = 0$ and $y_1 + y_2 = d$ with $y_1 \leq 2$. Since the cost of y_1 is 1 and that of y_2 is 10, y_1 is pushed as far as possible: $y_1 = \min\{d, 2\}$. This splits into $d \leq 2$, giving $y_1 = d, y_2 = 0$, and $d \geq 2$, giving $y_1 = 2, y_2 = d - 2$, as announced.

(c) $Q(\cdot, \xi)$ is convex and piecewise linear in the first-stage decision x : the three regimes above are the three linear pieces, with breakpoints where $d = 0$ and $d = 2$.

(d) Yes. ξ is continuous with an absolutely continuous distribution and finite second-order moments, so Q is differentiable on the interior of K_2 : integrating over ξ smooths away the kinks of each $Q(\cdot, \xi)$.

(e) Directly from the statement, $K_1 = \{x \mid x_1 + x_2 = 1, x \geq 0\}$. From (b), the second stage is feasible whatever d , so $K_2(\xi) = \mathbb{R}^2$ for every ξ , and therefore $K_2^P = \bigcap_{\xi \in \Xi} K_2(\xi) = \mathbb{R}^2$ and $K_2 = \mathbb{R}^2$ as well. In particular $K_1 \subseteq K_2$, confirming (a).

(f) With $\xi_1 = 1, \xi_2 = 2, \xi_3 = 3$ and $p_i = 1/3$,

$$\begin{aligned} \min \quad & x_1 + 4x_2 + \sum_{i=1}^3 p_i (y_{1i} + 10y_{2i} + 10y_{3i}) \\ \text{s.t.} \quad & x_1 + x_2 = 1, \\ & y_{1i} + y_{2i} - y_{3i} = \xi_i + x_1 - 2x_2, \quad i = 1, 2, 3, \\ & y_{1i} \leq 2, \quad i = 1, 2, 3, \\ & x \geq 0, \quad y_{1i}, y_{2i}, y_{3i} \geq 0, \quad i = 1, 2, 3. \end{aligned}$$

3 Decomposition methods

Exercise 3.1. (Deck 04.) Consider

$$\begin{aligned} \min \quad & 100x_1 + 150x_2 + \mathbb{E}_{\xi}[q_1y_1 + q_2y_2] \\ \text{s.t.} \quad & x_1 + x_2 \leq 120, \\ & 6y_1 + 10y_2 \leq 60x_1, \quad 8y_1 + 5y_2 \leq 80x_2, \\ & y_1 \leq d_1, \quad y_2 \leq d_2, \\ & x_1 \geq 40, \quad x_2 \geq 20, \quad y_1, y_2 \geq 0, \end{aligned}$$

under two scenarios $\xi = (d_1, d_2, q_1, q_2)$: $\xi_1 = (500, 100, -24, -28)$ with probability $p_1 = 0.4$, and $\xi_2 = (300, 300, -28, -32)$ with probability $p_2 = 0.6$.

Run the first iteration of the single-cut L -shaped method, showing that the second-stage solutions are respectively $y^* = (137.5, 100)$ and $y^* = (80, 192)$. To obtain the dual solutions, use complementary slackness: a dual variable can be non-zero only if the associated primal constraint is active.

Solution.

Master problem. With no cut yet, $\min\{100x_1 + 150x_2 \mid x_1 + x_2 \leq 120, x_1 \geq 40, x_2 \geq 20\}$, whose optimal solution is immediately $x^1 = (40, 20)$, so $60x_1 = 2400$ and $80x_2 = 1600$.

Since $x_1, x_2 \geq 0$ makes the second stage always feasible, the recourse is relatively complete and no feasibility cut is needed.

First scenario. $\min -24y_1 - 28y_2$ s.t. $6y_1 + 10y_2 \leq 2400$, $8y_1 + 5y_2 \leq 1600$, $y_1 \leq 500$, $y_2 \leq 100$, $y \geq 0$. We cannot have $y_1 = 500$, as the second constraint would be violated. Setting $y_2 = 100$,

$$y_1 = \min \left\{ \frac{2400 - 1000}{6}, \frac{1600 - 500}{8} \right\} = \min \left\{ \frac{1400}{6}, \frac{1100}{8} \right\} = \min \{233.33, 137.5\} = 137.5.$$

The alternative, making the first two constraints active, solves $3y_1 + 5y_2 = 1200$ and $8y_1 + 5y_2 = 1600$, giving $y_1 = 80$, $y_2 = 192$, which violates $y_2 \leq 100$. Hence $y^* = (137.5, 100)$, with objective -6100 .

Active constraints: the second and $y_2 \leq 100$. Complementary slackness gives $\pi_1^* = \pi_3^* = 0$, and both $y_1, y_2 > 0$ make the dual constraints tight:

$$8\pi_2^* = -24 \Rightarrow \pi_2^* = -3, \quad 5\pi_2^* + \pi_4^* = -28 \Rightarrow \pi_4^* = -28 + 15 = -13.$$

Second scenario. $\min -28y_1 - 32y_2$, same first two constraints, $y_1 \leq 300$, $y_2 \leq 300$. Taking $y_1 = 300$ or $y_2 = 300$ violates one of the first two constraints, so both are active:

$$3y_1 + 5y_2 = 1200, \quad 8y_1 + 5y_2 = 1600 \implies y^* = (80, 192),$$

with objective -8384 . Then $\pi_3^* = \pi_4^* = 0$ and

$$6\pi_1^* + 8\pi_2^* = -28, \quad 10\pi_1^* + 5\pi_2^* = -32.$$

Multiplying the first by 5 and the second by 8 and subtracting, $50\pi_1^* = -116$, so $\pi_1^* = -2.32$; then $5\pi_2^* = -32 + 23.2 = -8.8$, so $\pi_2^* = -1.76$.

Optimality cut. Writing the second-stage constraints as $Wy \leq h(\xi) - T(\xi)x$,

$$h(\xi_1) = \begin{pmatrix} 0 \\ 0 \\ 500 \\ 100 \end{pmatrix}, \quad h(\xi_2) = \begin{pmatrix} 0 \\ 0 \\ 300 \\ 300 \end{pmatrix}, \quad T(\xi_1) = T(\xi_2) = T = \begin{pmatrix} -60 & 0 \\ 0 & -80 \\ 0 & 0 \\ 0 & 0 \end{pmatrix}.$$

Hence

$$e_1 = 0.4 \pi_1^{*T} h(\xi_1) + 0.6 \pi_2^{*T} h(\xi_2) = 0.4 \times (-1300) + 0.6 \times 0 = -520,$$

and

$$E_1 = 0.4 \pi_1^{*T} T + 0.6 \pi_2^{*T} T = 0.4 \begin{pmatrix} 0 & 240 \end{pmatrix} + 0.6 \begin{pmatrix} 139.2 & 140.8 \end{pmatrix} = \begin{pmatrix} 83.52 & 180.48 \end{pmatrix}.$$

The cut $E_1 x + \theta \geq e_1$ reads

$$\theta \geq -520 - 83.52 x_1 - 180.48 x_2,$$

and one checks that it is tight at $x^1 = (40, 20)$: $-520 - 3340.8 - 3609.6 = -7470.4 = 0.4(-6100) + 0.6(-8384) = Q(x^1)$, as an optimality cut must be at the point where it was generated.

The master problem for the next iteration is therefore

$$\min \{100x_1 + 150x_2 + \theta \mid x_1 + x_2 \leq 120, x_1 \geq 40, x_2 \geq 20, \theta \geq -520 - 83.52x_1 - 180.48x_2\}.$$

Exercise 3.2. (Deck 04.) In the regularized decomposition method of Ruszczyński, what is the difference between an exact serious step and an approximate serious step? Why must the two be distinguished?

Solution.

Briefly: the difference is whether the step can still be the optimal solution. In both cases the incumbent moves because a better objective value has been found, but after an approximate step we *know* the solution is not optimal, whereas after an exact step it might be.

In more detail, in the regularized method:

- Step 4 is reached when *no* optimality cut has been added. In the standard L -shaped method this would already prove that the master solution is optimal, but here the proximal penalty may have pulled the solution away from the true minimizer, so the conclusion does not follow. The current first-stage point is taken as the new incumbent and the method returns to step 1. The stopping test there checks whether the master returns $x^\nu = a^\nu$: the penalty term then vanishes, and since no new cut was produced, the solution is optimal. Otherwise the penalty is what prevented optimality, and the method continues.
- Step 5 can only be reached when the condition of step 4 fails, i.e. when at least one new optimality cut was added at step 3. A point at which a cut has just been generated cannot be optimal — the cut is violated there. It may still give a better value of the full two-stage objective, in which case it is accepted as the new incumbent, but we already know it is not the answer and must keep going.

4 Multistage problems

Exercise 4.1. (*Decks 06 and 08; Heitsch, Römisch and Strugarek, Stability of multistage stochastic programs, SIAM Journal on Optimization 17(2):511–525, 2006.*) Consider the stylized multistage program below, seeking an optimal purchasing strategy under uncertain costs ξ_t over the periods $t = 0, \dots, T$. The amounts purchased are x_t , and a prescribed amount a must be reached at the horizon T :

$$\begin{aligned} \min_x \mathbb{E} \left[\sum_{t=0}^T \xi_t x_t \right], \\ \text{s.t. } s_t - s_{t-1} = x_t, \quad t = 0, \dots, T, \\ s_{-1} = 0, \quad s_T = a, \quad x_t \geq 0, \quad s_t \geq 0, \end{aligned}$$

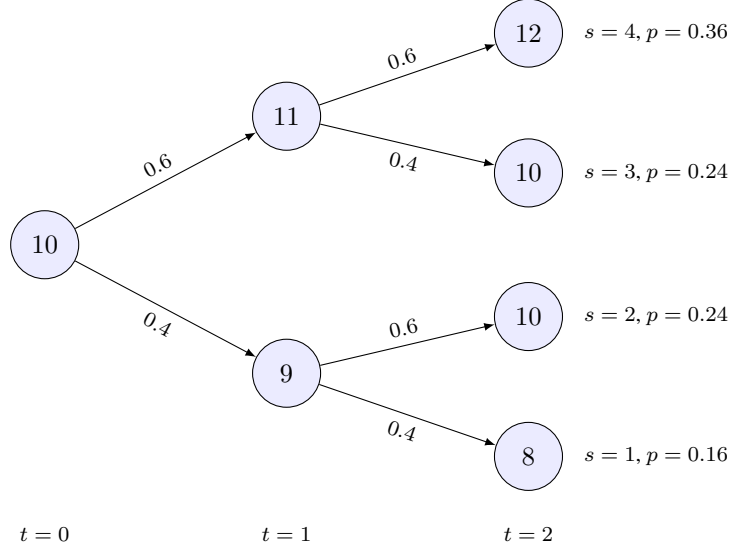
where s_t is a state variable holding the amount accumulated at time t .

Take three stages ($t = 0, 1, 2$), a binary tree, and $\xi_0 = 10$; the cost goes up by 1 with probability 0.6 and down by 1 with probability 0.4.

- Draw the scenario tree.
- Write the problem (i) in extensive form, (ii) using a scenario decomposition.
- In which of the two formulations must non-anticipativity constraints be written explicitly?

Solution.

- Four scenarios, of probabilities 0.16, 0.24, 0.24 and 0.36:



(b)(i) Extensive form. Attach one decision to each *node* of the tree: x_0 at the root, $x_{1,1}$, $x_{1,2}$ at stage 1, and $x_{2,1}, \dots, x_{2,4}$ at stage 2, with the states s indexed likewise. Writing the cost of a node times the probability of reaching it,

$$\begin{aligned}
 & \min 10x_0 + 0.4(9x_{1,1} + 0.4 \cdot 8x_{2,1} + 0.6 \cdot 10x_{2,2}) + 0.6(11x_{1,2} + 0.4 \cdot 10x_{2,3} + 0.6 \cdot 12x_{2,4}) \\
 & \text{s.t. } s_0 = x_0, \\
 & \quad s_{1,1} = s_0 + x_{1,1}, \quad s_{1,2} = s_0 + x_{1,2}, \\
 & \quad s_{2,1} = s_{1,1} + x_{2,1}, \quad s_{2,2} = s_{1,1} + x_{2,2}, \quad s_{2,3} = s_{1,2} + x_{2,3}, \quad s_{2,4} = s_{1,2} + x_{2,4}, \\
 & \quad s_{2,j} = a, \quad j = 1, \dots, 4, \\
 & \quad x \geq 0, \quad s \geq 0,
 \end{aligned}$$

where node (1, 1) carries $\xi_1 = 9$ and node (1, 2) carries $\xi_1 = 11$.

(b)(ii) Scenario decomposition. Attach instead one full decision path to each *scenario*: $x_t^{(s)}$ and $s_t^{(s)}$, $t = 0, 1, 2$, $s = 1, \dots, 4$. With $p = (0.16, 0.24, 0.24, 0.36)$ and the cost paths $(10, 9, 8)$, $(10, 9, 10)$, $(10, 11, 10)$, $(10, 11, 12)$,

$$\begin{aligned}
 & \min 0.16 \left(10x_0^{(1)} + 9x_1^{(1)} + 8x_2^{(1)} \right) + 0.24 \left(10x_0^{(2)} + 9x_1^{(2)} + 10x_2^{(2)} \right) \\
 & \quad + 0.24 \left(10x_0^{(3)} + 11x_1^{(3)} + 10x_2^{(3)} \right) + 0.36 \left(10x_0^{(4)} + 11x_1^{(4)} + 12x_2^{(4)} \right) \\
 & \text{s.t. } s_0^{(s)} = x_0^{(s)}, \quad s_t^{(s)} = s_{t-1}^{(s)} + x_t^{(s)}, \quad t = 1, 2, \quad s = 1, \dots, 4, \\
 & \quad s_2^{(s)} = a, \quad x_t^{(s)} \geq 0, \quad s_t^{(s)} \geq 0, \\
 & \quad x_0^{(1)} = x_0^{(2)} = x_0^{(3)} = x_0^{(4)}, \quad \text{(non-anticipativity, } t = 0) \\
 & \quad x_1^{(1)} = x_1^{(2)}, \quad x_1^{(3)} = x_1^{(4)}. \quad \text{(non-anticipativity, } t = 1)
 \end{aligned}$$

(c) Only in the scenario decomposition. The extensive form attaches one variable per *node*, so two scenarios that are indistinguishable at time t automatically share the same decision: non-anticipativity is built into the indexing. The scenario decomposition duplicates the decisions along each path, which is what makes the problem separable by scenario, and the coupling must then be restored explicitly. Those are precisely the constraints that deck 08 dualizes, with multipliers π , and that progressive hedging enforces iteratively.

Note the pattern: at $t = 2$ the four scenarios are all distinguishable, so no constraint is needed; at $t = 1$ they form two groups; at $t = 0$ a single one.

5 Monte Carlo approximation

Exercise 5.1. (Decks 03 and 09.) Show that

$$\mathbb{E}_{\xi} \left[\min_{x \in \mathcal{X}} z(x, \xi) \right] \leq \min_{x \in \mathcal{X}} \mathbb{E}_{\xi} [z(x, \xi)]$$

for a deterministic feasible set $\mathcal{X}$. How is this result to be interpreted for stochastic programming? Extend it to a Monte Carlo sample average.

Solution.

Assume the expectations are well defined and the minima attained, as the statement implicitly does. There exists $x^* \in \mathcal{X}$ with $\min_{x \in \mathcal{X}} \mathbb{E}_{\xi} [z(x, \xi)] = \mathbb{E}_{\xi} [z(x^*, \xi)]$. Since $x^* \in \mathcal{X}$,

$$\min_{x \in \mathcal{X}} z(x, \xi) \leq z(x^*, \xi) \quad \text{for every } \xi,$$

and taking expectations gives the result.

Without attainment the statement still holds with infima: for every $y \in \mathcal{X}$, $\inf_{x \in \mathcal{X}} z(x, \xi) \leq z(y, \xi)$, hence $\mathbb{E}_{\xi} [\inf_{x \in \mathcal{X}} z(x, \xi)] \leq \mathbb{E}_{\xi} [z(y, \xi)]$, and taking the infimum over y closes the argument.

Interpretation. This is $\text{WS} \leq \text{RP}$ of deck 03: minimizing under perfect information is optimistic. A decision tailored to each realization can only beat a single decision that must serve them all.

Extension to sampling. Let $z_N(x) = \frac{1}{N} \sum_{n=1}^N z(x, \xi_n)$ be the sample average over an i.i.d. sample. The result just proved applies verbatim with the random element taken to be the whole sample $(\xi_1, \dots, \xi_N)$ and the function z_N in place of z :

$$\mathbb{E} \left[\min_{x \in \mathcal{X}} z_N(x) \right] \leq \min_{x \in \mathcal{X}} \mathbb{E} [z_N(x)] = \min_{x \in \mathcal{X}} \mathbb{E}_{\xi} [z(x, \xi)],$$

the last equality because $z_N(x)$ is an unbiased estimator of $\mathbb{E}_{\xi} [z(x, \xi)]$ for each fixed x .

Caution. One cannot argue by exchanging the minimum and the sum, writing $\min_x \frac{1}{N} \sum_n z(x, \xi_n) = \frac{1}{N} \sum_n \min_x z(x, \xi_n)$: the minimum of a sum is not the sum of the minima, and the inequality in fact runs the other way,

$$\min_{x \in \mathcal{X}} \frac{1}{N} \sum_{n=1}^N z(x, \xi_n) \geq \frac{1}{N} \sum_{n=1}^N \min_{x \in \mathcal{X}} z(x, \xi_n),$$

since a single x must serve all N draws. That route does not close the chain; the one above does.

The conclusion is that the sample-average optimal value is a *downward-biased* estimator of the true optimal value: the optimizer exploits the particular sample it was given. This is the bias that deck 09 analyses, and why an out-of-sample evaluation is needed to obtain an honest upper bound.